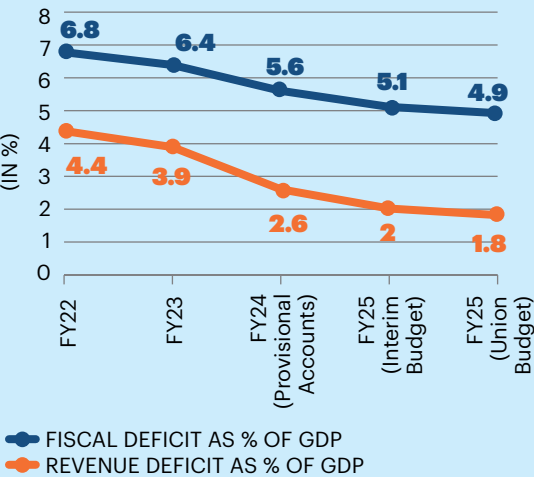


A FIRM FOOTING

Focus on Fiscal Consolidation

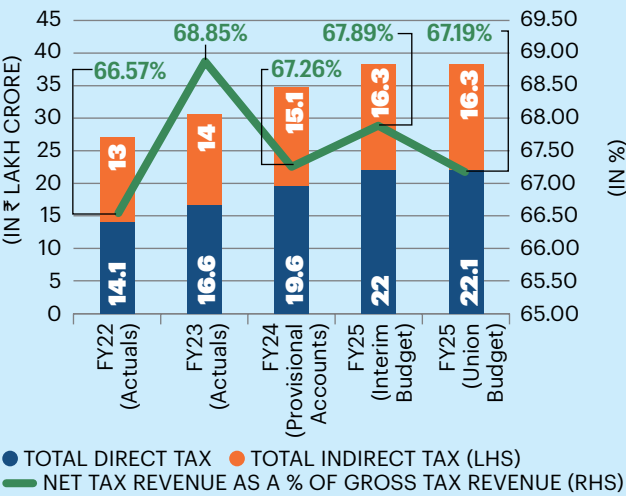
● Union Budget pegs fiscal deficit at 4.9% of the GDP for FY25 and below 4.5% for FY26 ● Revenue deficit is estimated at 1.8% of GDP for this fiscal



SOURCE BUDGET PAPERS

Robust Tax Collections

● Gross tax collections pegged to grow by 10.8% in FY25 BE over FY24 BE ● Targets seen to be conservative



SOURCE BUDGET PAPERS, MOTILAL OSWAL FINANCIAL SERVICES

But the withdrawal of the angel tax, an issue highlighted by *Business Today* earlier, is expected to give relief to foreign investors and the country's budding start-up ecosystem that has found it difficult to bring in capital to build on their growth plans.

Revenue Secretary Sanjay Malhotra explains that while the angel tax was an anti-avoidance measure to deter money laundering, it was impacting investments. "It is difficult and impossible to value companies objectively," he tells *BT*, adding that though there are very few instances of incorrect application of the tax, the "ramifications and impact are much more".

"On balance, when this is a Budget for growth and employment generation, it was thought fit that we remove this irritant," he adds.

For the middle class, too, the Finance Minister has announced a slew of measures, including a re-jig in income tax slabs, an increase in standard deduction to ₹75,000 from ₹50,000, as well as higher deduction of ₹25,000 for family pension.

All these benefits are available under the new income tax regime and could save annual tax of up to ₹17,500 for individuals, which could give a marginal push to disposable incomes and consumption demand.

The FM has also promised a review of the Income Tax Act and customs duty over the next six months and has announced that efforts would be made to further simplify the GST structure and expand it to the remaining sectors.

Sanjay Kumar Agarwal, Chair-

man of the Central Board of Indirect Taxes and Customs (CBIC), points out that a Group of Ministers under the GST Council is undertaking a review of the rate structure and a possible rationalisation of the rates to three slabs. "They are working on it, and they will try to do it quickly because that is the ask now as GST has stabilised. The tax regime is seven years old now and the revenue is also good. Now there is need for this kind of reforms," he says.

COALITION MATH

The BJP-led NDA government may have refrained from granting special status to Andhra Pradesh and Bihar, but it did make up for that by bestowing adequate largesse on them to keep its key allies